

professional who genuinely knows something about a property that everyone else does not. The evidence of a change in trend for real estate prices in the late 1980s demanded only one change in your thinking: Consider your home only as a *consumption* item, no longer as an *investment* item. If you want to consume it, if you can afford it, and if it is situated to provide convenience, safety (in the case of social unrest) and the amenities you enjoy, then keep it. If you cannot afford it, or will not be able to afford it if you or your spouse loses a job, or if you consider it an investment and do not mind renting, then it is probably best to sell it. Since 1989, office rents in New York City have fallen 22%, and that is only the beginning. Indeed, renters are likely to enjoy the same "buyer's market" they did for ten years into the early 1940s, during which time rents relentlessly declined. There is also a great opportunity in the REIT market, one that comes along no more than twice in a lifetime. Short selling REITs should prove very lucrative, as REITs are likely to fall 90%-100% in value in the bear market, like so many did in 1972-1974. Short selling is a speculative venture, however, so do not undertake it unless you are experienced and can decide when to bail out if I prove wrong. The best news of all is that when the collapse is over, the real estate bargains of a lifetime will be yours for the choosing. So preserve your purchasing power now, and keep an eye on auctions and bank sales for that property you have been dreaming to own.

When an economy deflates severely, both "inflation hedged" precious metal, commodity, and real estate investors *and* many "deflation hedged" bond holders find that their supposed safe stores of value are generating losses. In such times, there is no truly safe place to hide except cash and interest-bearing cash equivalents. Though today cash is completely out of fashion in the investment world, you should take the maverick road and search out a safe haven for your savings. You will have to target your haven very carefully, as *diversity is not going to save people this time*. "Diversity" is one of today's great buzz words, which is used to urge investors to get into as many markets as they possibly can. In the coming deflation, most markets are going to fall, so diversified portfolios will be guaranteed losers.

No investment market will be stable during this period. On the way down, there will be violent and exciting bear market rallies and an attendant bullish conviction and excitement in some markets that may even exceed that of today. Just keep reminding yourself that none of them is a place to "park your money" and forget about